# State Bond Referenda Questions

**Referenda Questions 1 – 5** involve authorizing the State to borrow money through bonds and temporary notes to make capital investments **(Chapter 084 Public Laws 2026).**

**What is a bond?**

A bond is like a mortgage or loan. Just like people might borrow money to get an education or buy a home, the State is asking to borrow money from a lender with the promise to pay it back over time with interest. These questions are asking you for permission to borrow and invest in different areas of our state.

Here is a table of the bond proposals and their associated costs including principal and interest. Just as with a mortgage or loan, the total cost includes the principal amount borrowed and the amount of interest paid over the term of the bond. The total cost also includes any fees, printing, or underwriting expenses associated with issuing the bonds.

| STATE BOND QUESTIONS | PRINCIPAL | INTEREST | TOTAL COSTS |
|---|---|---|---|
| 1. Higher Education Facilities | $275,000,000 | $166,333,250 | $441,333,250 |
| 2. Housing and Homeownership | $120,000,000 | $72,586,000 | $192,586,000 |
| 3. Economic Development | $100,000,000 | $60,483,750 | $160,483,750 |
| 4. Cultural Economy | $50,000,000 | $30,242,500 | $80,242,500 |
| 5. Green Economy Bonds | $55,000,000 | $33,267,500 | $88,267,500 |
| **TOTAL BORROWING COSTS FOR ALL REFERENDA** | $600,000,000 | $362,913,000 | $962,913,000 |

The total costs above are only estimates based on 20-year loans and an interest rate of 5%.

**On the ballot, you will be asked:**

"Shall the act passed by the General Assembly at the January 2026 session, allowing the State of Rhode Island to issue bonds, refunding bonds, and temporary notes to pay for the projects listed below, be approved, and the State be allowed to issue these bonds, refunding bonds, and temporary notes as outlined in the law?"

The following pages provide more information about each of the bond questions including their total estimated cost and project timetable. These estimated costs assume the bonds are gradually paid off with level payments over a 20-year period.

## About Question 2:

# What it will look like on the ballot:

### 2. HOUSING AND HOMEOWNERSHIP - $120,000,000

To increase and preserve the availability of affordable and accessible housing to meet the needs of all Rhode Islanders and support community revitalization through the redevelopment of existing structures, new construction, property acquisition, and infrastructure improvements. Of this amount, at least twenty-five million dollars ($25,000,000) shall be allocated towards increasing production of housing intended for homeownership and up to ten million dollars ($10,000,000) may be used to support a program for public housing development.

⬭ **Approve**

⬭ **Reject**

### Approve

Your vote to "Approve" means that you support the State issuing $120,000,000 in general obligation bonds to increase housing and homeownership.

### Reject

Your vote to "Reject" means that you are against the State issuing $120,000,000 in general obligation bonds to increase housing and homeownership.

### Explanation and purpose of Question 2:

Approval of this bond will provide one hundred and twenty million dollars ($120,000,000) to increase housing availability and supply, revitalize communities, and promote affordable homeownership. New construction and renovation of existing buildings will increase and preserve housing affordability.

### How much money will be borrowed?

$120,000,000

### Project timetable:

Housing production and redevelopment projects are expected to begin by 2028 and are estimated to be completed between 2029 and 2032.

### Useful life:

The useful life of the redeveloped and/or newly constructed housing is estimated to be a minimum of 30 years.

### Total cost:

| PROJECT COSTS | | COST OF ISSUANCE* | |
|---|---|---|---|
| **Principal** | **Interest**** | **Principal** | **Interest**** |
| $119,520,000 | $72,295,656 | $480,000 | $290,344 |

| TOTAL PROJECT AND ISSUANCE COSTS | | |
|---|---|---|
| **Principal** | **Interest**** | **Total Costs** |
| $120,000,000 | $72,586,000 | $192,586,000 |

** Cost of issuance estimated at 0.4% of principal issued.*

*** Assumes an interest rate of 5%, with bonds amortized with level payments over 20 years.*